

Etched

AI Inference Silicon · Transformer ASICs & Data-Centre Compute · San Jose, California · Private (\$21B; \$700M round, Aug 2026)

Etched, the San Jose company whose Sohu chip runs only transformer inference, raised \$700M at a \$21B valuation on 18 August, led by Jane Street, which is also its first paying customer, doubling July's \$10.3B price a month after it was set.

75

OPPORTUNITY / 100

TIMING WINDOW

HOT

SERIES

F1

RECOMMENDED TEAM

Audi Revolut F1 Team

ACTION HORIZON

6-10 WKS

THE CASE

The round brought in Kleiner Perkins, Sequoia, Andreessen Horowitz, Tiger Global, Bain Capital Ventures and Blackstone behind Jane Street, which took delivery of the first Sohu rack in July and is deploying it into its own workloads; the company reports more than \$1B in customer contracts across frontier AI labs and clouds. It follows a \$300M Series C at \$10.3B in July led by Sequoia. A \$500M Stripes-led raise at \$5B closed in December 2025. Sohu is built on TSMC's 4-nanometre process; founders Gavin Uberti, Chris Zhu and Robert Wachen started the company in 2022.

Inference silicon has already bought a Formula 1 seat: Groq is on a McLaren, and eight AI partnerships were signed on the grid in the six months to May, with Anthropic at Williams, Oracle's strategy agent at Red Bull and TWG AI exclusive at Cadillac. Every one of those sells a model or a cloud; Etched sells the chip underneath, and it has a customer running it.

WHY NOW

Two price marks in a month, a first rack in a customer's hands and a \$1B backlog to deliver: the company has to be known before the racks are. Teams close 2027 rosters in the fourth quarter; Austin in late October, Mexico City and Las Vegas sit inside the window.

PROOF POINTS — EVERY FIGURE VERIFIED TO A PRIMARY SOURCE (SEE P.2)

\$700M

\$700M at a \$21B valuation announced 18 Aug 2026, led by Jane Street, which is also the first paying custome...

\$1B

the company reports more than \$1B in customer contracts across frontier AI labs and clouds.

\$300M

It follows a \$300M Series C at \$10.3B in July led by Sequoia.

\$500M

A \$500M Stripes-led raise at \$5B closed in December 2025.

GRID FIT — CATEGORY-WHITESPACE CHECK ACROSS THE F1 GRID (SPONSOR TABLE; 85 OF 347 PARTNER ROWS CATEGORISED)

Audi Revolut F1 Team	PRIME LANE	documented open category: ai inference / compute
Mercedes-AMG Petronas F1 Team	TAKEN	AMD, Meta AI, Snapdragon
McLaren Mastercard F1 Team	TAKEN	Dell Technologies, Google Cloud, Groq
Aston Martin Aramco F1 Team	TAKEN	ARM, Cognition, CoreWeave

BOTTOM LINE

\$700M at \$21B with the first rack in a customer's hands and \$1B of contracts to deliver, an inference-chip rival already on a McLaren, and a debut works team with no inference partner. A chip that runs one model family and a company with no marketing chief hold it at 75.

WHY AUDI REVOLUT F1 TEAM

Audi Revolut F1 Team is a debut works entry under Mattia Binotto, and its technical roster carries NinjaOne, Extreme Networks and ElevenLabs for voice AI, but no inference or compute partner: the lane is taken at Cadillac (TWG AI, exclusive), McLaren (Groq), Mercedes (AMD, Snapdragon, Meta AI), Aston Martin (Cognition, CoreWeave), Red Bull (Oracle) and Williams (Anthropic). A German engineering brand in its first season buys technology stories; a chip company with one customer needs one.

VALUE TO AUDI REVOLUT F1 TEAM — MODE A (TECH IN THE CAR / CHAMPIONSHIP)

MODE A, narrowly. Sohu runs transformer inference only, so the workstream is the team's language-model layer: race-engineering assistants, telemetry and document summarisation, and simulator and strategy agents built on transformers, on a rack at Hinwil and trackside. In return: Official Inference Partner designation, sidepod and garage presence, Austin and Las Vegas hospitality, and an engineering content series.

DEAL ARCHITECTURE

Entry as Official Inference Partner. **THREE YEARS**, 2027-2029, through Sohu's first production generation and its successor. Estimated \$5-8M a year, part-payable in Sohu racks the team would otherwise lease as cloud inference. Scope: sidepod placement, naming of the team's inference cluster, Austin, Mexico City and Las Vegas hospitality, and a content series on the cost of a token.

PRIMARY DECISION-MAKER

Gavin Uberti

CO-FOUNDER AND CHIEF EXECUTIVE OFFICER, ETCHED · **VERIFIED**

Uberti co-founded Etched in 2022 with Chris Zhu and Robert Wachen, Thiel Fellows who left Harvard to build it, and runs a company with no marketing or commercial officer listed. Path: Robert Wachen, co-founder and Chief Operating Officer; Mark Rose, Chief Technology Officer.

OPENING ANGLE

Lead with the customer, not the valuation.

“Gavin, Jane Street is running your rack and Groq is on a McLaren. Audi is a works team in its first season with no inference partner, and the 2027 roster closes this quarter. 25 minutes before Austin?”

SCORE COMPOSITION

TIMING 16 / 20 Round 18 Aug; Austin and Las Vegas inside the window.	CAPACITY 20 / 20 \$700M at \$21B; \$1B in customer contracts.	BRAND FIT 13 / 20 B2B silicon; one named customer carries the story.	URGENCY 15 / 20 Racks shipping and a \$1B backlog to deliver; no listing.	OPS FIT 11 / 20 Transformer-only chip: the language-model layer, not the whole stack.
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RISKS & COUNTERS

TRANSFORMER-ONLY SILICON Sohu runs one model family; a team's strategy and vision models need not be transformers, so the workstream is the language-model layer, not the pit wall. **Counter:** Sell that layer honestly and let Jane Street's deployment carry the proof.

A PRICE THAT DOUBLED IN A MONTH Four times the valuation in eight months on one named paying customer; a re-rating that fast can reverse and freeze spend. **Counter:** Anchor on the \$1B of contracts and the shipped rack, not the mark.

SOURCES — 16 OF 16 LOAD-BEARING CLAIMS VERIFIED

- https://en.wikipedia.org/wiki/Etched_(company)
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- https://www.businesswire.com/news/home/20260204298262/en/TWG-AI-Joins-the-Cadillac-Formula-1-Team-as-Primary-and-Exclusive-AI-Partner
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